

MARKET INTELLIGENCE REPORT

GCC Payments Landscape — Strategic Entry Assessment

Saudi Arabia | UAE | Oman | Q2 2026

Prepared for: Strategy & Growth Committee | Classification: Confidential

1. Executive Summary

The GCC payments market represents a significant growth opportunity. Combined payment transaction value across Saudi Arabia, UAE, Oman, Bahrain, Kuwait, and Qatar reached **\$1.24 trillion in 2025**, growing at 14.2% CAGR over the prior three years. Digital payment adoption is accelerating sharply, driven by government-mandated cashless economy programs, young demographics, and high smartphone penetration.

Our primary target markets are Saudi Arabia (SAMA jurisdiction), UAE (CBUAE and DIFC/ADGM for fintech), and Oman (CBO). Each market has distinct regulatory entry requirements, competitive dynamics, and addressable segments. This report provides an independent assessment to inform the Board's GCC expansion decision.

Key finding: The UAE offers the fastest and lowest-risk entry path via the DIFC fintech sandbox. Saudi Arabia offers the largest total addressable market but the most demanding regulatory requirements. Oman is a lower-priority market with a smaller TAM and less competitive urgency.

2. Market Size and Growth

Market	2025 Transaction Value	YoY Growth	Digital % of Total	Priority
Saudi Arabia	\$620B	+16.3%	58%	HIGH
UAE	\$390B	+12.8%	71%	HIGH
Oman	\$78B	+9.1%	44%	MEDIUM
Bahrain	\$42B	+11.2%	67%	LOW
Kuwait	\$58B	+8.4%	39%	LOW
Qatar	\$52B	+10.7%	61%	LOW

3. Country-by-Country Analysis

3.1 Saudi Arabia — Largest Opportunity, Highest Regulatory Bar

Saudi Arabia's Vision 2030 financial sector development program has created an unprecedented fintech environment. SAMA (Saudi Central Bank) has issued 35 fintech licenses since 2022, with payments, lending, and wealth management the three dominant categories. The kingdom's STCPAY and STC Pay ecosystem has 14M registered users, creating both a competitive benchmark and a potential partnership channel.

Regulatory requirements: Payment Service Provider (PSP) license from SAMA. Minimum paid-up capital of SAR 50M (\$13.3M). Local entity required (foreign branch not accepted for payments). Data localization: all transaction data must reside on servers located in Saudi Arabia. Timeline to license: estimated 12–18 months. SAMA's 2026 sandbox is accepting applications until September 1; our

compliance team should submit by August 15.

Competitive landscape: STC Pay (dominant, 14M users), Tamara (BNPL, \$1B valuation), Tabby (BNPL, \$600M valuation), HyperPay (payment gateway, strong SME presence). No single dominant player in the B2B cross-border payments segment — our strongest entry angle.

Addressable segment for us: B2B cross-border payments for SMEs trading with South Asia and East Africa. Estimated TAM: \$18B in transaction value annually. Our target share in year 3: \$150M (0.83% market share).

3.2 UAE — Fastest Entry, Established Fintech Hub

The UAE has the most sophisticated fintech regulatory infrastructure in the GCC. The DIFC (Dubai International Financial Centre) and ADGM (Abu Dhabi Global Market) both offer fintech sandbox programs with pathways to full authorization. The CBUAE (Central Bank UAE) Retail Payment Services license is the primary route for payment service providers targeting the UAE retail market.

Recommended entry route: DIFC Innovation Testing License (ITL). Application processing time: 6–8 weeks. Capital requirement: \$50,000 for ITL phase. Allows live testing with up to 50 pilot customers. Full DIFC license can follow within 12 months. This is the fastest path to revenue in the GCC.

Key players: Payit (FAB), Magnati (First Abu Dhabi Bank), LuLu Exchange, Nymcard (card issuing BaaS). The UAE market is competitive but segmented; opportunity exists in the SME cross-border niche and the Indian expat remittance corridor (\$20B annually from UAE to India).

3.3 Oman — Developing Market, Lower Priority

Oman's Central Bank (CBO) published its fintech regulatory framework in 2024. The market is smaller (\$78B transaction value) with lower digital penetration (44%) compared to UAE and Saudi Arabia. However, Oman has fewer established fintech players, creating white space for new entrants. Our recommendation is to defer Oman to 2027–2028, after UAE operations are established.

4. Competitive Positioning

Our core differentiator in the GCC is the combination of South Asia connectivity (Pakistan, Bangladesh, Sri Lanka corridors) with GCC-standard compliance and Arabic-language UX. No current GCC player has strong presence in both the South Asia sending corridor AND the GCC-to-Africa receiving corridor. This dual-corridor positioning is a defensible moat that will take incumbents 18–24 months to replicate.

Pricing strategy: Target 1.2–1.5% total cost of transfer on SME cross-border payments, versus the current market average of 2.1–2.8% for correspondent banking. Our margin target is 35 basis points per transaction at scale, implying \$5.25M annual profit contribution on \$150M transaction volume.

5. Recommended Action Plan

Action	Market	Timeline	Owner	Investment
Submit DIFC Innovation Testing License application	UAE	July 31, 2026	CEO/Legal	\$80K
Complete SAMA sandbox application	Saudi Arabia	August 15, 2026	CCO/Legal	\$120K
Hire UAE Country Manager	UAE	August 2026	CEO	\$180K p.a.
Localize product for Arabic UX	UAE/KSA	Q3 2026	CPO	\$150K
Build Saudi data residency infrastructure	Saudi Arabia	Q4 2026	CTO	\$280K
Launch UAE pilot (50 SME clients)	UAE	Q4 2026	CEO	Operational
Defer Oman to 2027 strategy review	Oman	2027	Strategy	N/A